MIRAE ASSET Sharekhan

Capital Goods

Execution to drive Q4 show

SECTOR UPDATE

Q4FY2026 Results Preview

SECTOR

Capital Goods

SECTOR VIEW

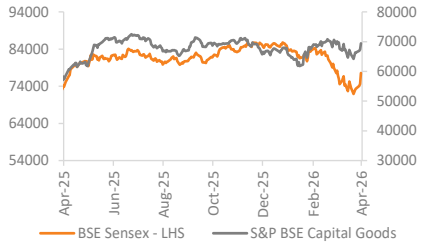
Positive

Coverage universe

Company	CMP (Rs)	Reco.	PT (Rs)
Capital goods			
Larsen & Toubro	3,897	BUY	4,700
Bharat Electronics	440	BUY	525
KEC International	578	BUY	800
Kalpataru Power	1,142	BUY	1,400
Thermax	3,535	HOLD	UR
Triveni Turbines	455	BUY	640
Cummins India	4,907	BUY	5,500
Carborundum Universal	855	HOLD	1,040
Hindustan Aeronautics Ltd.	4,033	Positive	5,400
Kirloskar Oil Engines	1,459	Positive	1,650
Dee Development	313	Positive	340
Va Tech wabag	1,321	BUY	1,800
Honeywell automation	27,772	Hold	UR
Product based			
Finolex cables	844	BUY	1,250
V-Guard	328	BUY	430
KEI Industries	4,422	BUY	4,800
Polycab India	7,605	BUY	8,800
Amber Enterprises	6,895	BUY	9,300
Blue star Limited	1,654	BUY	2,060
Dixon Technologies	10,626	BUY	14,400
Power			
NTPC	378.45	BUY	430
Powergrid	298.15	BUY	350
Tata Power	394.55	BUY	485
CESC	156.7	BUY	195

Source: Mirae Asset Sharekhan Research

PRICE CHART



Source: NSE, BSE, Mirae Asset Sharekhan Research

Quick Snapshot

- The capital goods sector is comfortably positioned, supported by – a strong order book providing healthy revenue visibility, robust balance sheet that aids capex, and favourable government policies.
- Our universe is likely to report a ~13% y-o-y revenue growth. Most project-based companies would post healthy double-digit revenue growth on a strong order book. Product-based companies would see stable growth of ~13.6%. OPM could drop 77 bps to 7.7%. Net profit is expected to broadly remain flat impacted by slight decline in margins.
- The focus will remain on defence, T&D, renewable energy and select pockets such as data centers, thermal power and B&F segment.
- Power companies in our coverage are expected to report revenue/EBITDA/PAT growth of 4.5%/6%/3% y-o-y.
- **Preferred Picks: Project-based companies -** We prefer BEL, HAL, KOEL, Triveni Turbines, KEC International and Kalpataru Projects; **Consumer electricals -** prefer Amber Enterprises, Polycab India and V-Guard. In the power segment, we like NTPC, Powergrid and CESC.

Limited impact from geopolitical tensions - The sector has been broadly resilient amid the current turmoil in West Asia, except for a few players such as L&T, KEC and Kalpataru, which had projects were deployed in Gulf countries. The focus will remain on defence, T&D, Renewable and select pockets such as data centers, thermal power and the B&F segment. For Q4FY26, we expect the impact of the ongoing conflict in the Middle East to be limited, with execution growth of 13% y-o-y, fueled by a strong order book. Order inflows for major large companies in the sector has been stable. The ordering activity was supported by power T&D, defense, metals, automobile, data centers, and B&F segments. KEC and KPIL have broadly announced a good set of order inflows. Defence sector order prospects remain in focus as DAC approvals grew to Rs 6 lakh crore a 3x jump from FY25. Thermax has been focusing on a large order for a boiler project. Companies are gaining traction in sectors like transmission, Renewables, decarbonisation, etc. In the EMS space, Dixon would see a burden of higher Dram prices impacting the mobile phone sales and hung approval for Vivo JV would play as a overhang for the Dixon performance whereas Amber would post a decent growth.

Overall decent show: Our coverage universe (including product-based companies) is expected to post ~13.4% y-o-y growth. OPM is expected to decline ~182 bps y-o-y as an impact of higher raw material costs. Project-based companies are expected to see revenue growth of ~13%, led by healthy execution of an all-time high order backlog of all the companies including defence companies such as HAL and BEL. OPM would decline. PAT is also expected to decline in high single digits. Order booking remained strong for defence, T&D and infrastructure companies. For consumer durable companies demand for RACs is a key monitorable amid the fluctuations in weather predictions. Though companies have taken a hike of 5-7% as an impact of higher input costs, secondary sales and inventory stockings would be playing a crucial role in Q4 numbers. Moreover, the commentary from the market players would be a key monitorable.

Power sector: Power consumption of 425 billion units (BU) in Q4FY26 was up 2.0% y-o-y. Peak demand also grew 2% y-o-y to 245 GW. The quarter saw a "V-shaped" recovery in consumption. Power prices continues to remain muted. In power PSUs, NTPC will have moderate generation and sales growth, and net profit to remain muted degrowing 1.5%. PowerGrid to see a decent PAT growth of around 10% due to higher capitalization. Tata Power is likely to report a weak quarter with the expiry of Section 11 benefit in the Mundra plant. CESC is expected to have a good quarter with rise in PAT by 5% y-o-y with the benefit of the higher rate of PPA flowing in. Our coverage universe is expected to report a Revenue/EBITDA/PAT growth of 4.5%/6.9%/ 3% on a y-o-y basis.

Valuation:

We expect our capital goods universe to continue to perform well, driven by strong execution of record high order books. Order intake was encouraging in all the key sectors like power, metro, railways, T&D, data centre and automaton. We continue to like companies with a well-diversified order book and revenue base, margin tailwinds and reasonable valuations. We remain optimistic on the public capex cycle backed by government policies and measurements.

Preferred Picks:

L&T, BEL, HAL, KOEL, Va Tech Wabag, Amber Enterprises, KEC, KKC, KPIL, KEI and Polycab India. In power, we like NTPC, PowerGrid and CESC.

Q4FY2026 Result Preview Rs cr

Companies	Sales				OPM (%)				PAT			
	Q4FY26E	Q4FY25	y-o-y (%)	QoQ (%)	Q4FY26E	Q4FY25	y-o-y (bps)	QoQ (bps)	Q4FY26E	Q4FY25	y-o-y (%)	QoQ (%)
Larsen & Toubro	87411	74392	17.5	22.3	10.3	11.0	-73	-8	5507	5022	9.6	20.8
Bharat Electronics	10558	9150	15.4	47.6	29.0	30.8	-178	521	2270	2127	6.7	43.7
KEC International	7353	6872	7.0	22.5	7.0	7.8	-84	-16	221	268	-17.8	18.4
Kalpataru Projects	6658	6204	7.3	15.0	8.0	8.4	-42	-32	233	241	-3.3	10.3
Thermax	3332	3085	8.0	26.5	9.0	9.7	-71	-67	200	205	-2.3	17.8
Triveni Turbines	673	538	25.0	23.2	21.0	22.4	-138	-49	101	95	6.6	9.4
Cummins India	2875	2457	17.0	-5.9	21.0	21.2	-15	30	489	521	-6.3	-11.8
Carborundum Universal	1302	1217	7.0	2.3	11.0	12.0	-102	-134	78	28	176.9	4.2
Hindustan Aeronautics Ltd.	13104	13700	-4.3	70.2	29.0	38.7	-972	468	3145	3959	-20.6	69.8
Kirloskar Oil Engines	1610	1412	14.0	16.6	12.3	12.1	21	7	129	100	28.5	19.9
Dee Development	370	286	29.4	29.1	18.0	22.1	-409	138	33	32	4.1	79.2
Va Tech Wabag	1387	1156	20.0	23.0	13.0	12.2	108	109	139	100	39.4	28.4
Honeywell Automation	1204	1115	8.0	30.2	11.0	14.3	190	-164	120	140	-14.0	15.3
Project based companies	**50425**	**47192**	**6.9**	**32.6**	**19.2**	**22.9**	**-370**	**301**	**7157**	**7816**	**-8.4**	**41.5**
Finolex cables	1722	1595	8.0	7.7	9.0	10.7	-171	-86	172	192	-10.2	5.0
V-Guard	1702	1480	15.0	28.4	6.8	8.2	-136	-41	85	78	9.0	35.2
KEI Industries	3469	2915	19.0	17.4	10.2	10.3	-14	-63	222	165	34.7	-5.5
Polycab India	8453	6986	21.0	10.7	12.5	14.7	-218	-15	676	734	-7.9	7.3
Amber Enterprises	4204	3754	12.0	42.9	8.0	7.9	15	-36	84	119	-29.6	-17.9
Blue star Limited	4381	4019	9.0	49.8	7.0	7.0	5	-55	175	194	-9.9	117.2
Dixon Technologies	11322	10293	10.0	6.1	3.5	4.3	-80	-38	317	215	47.7	-1.1
Products based	**35252**	**31040**	**13.6**	**17.3**	**7.7**	**8.5**	**-77**	**-34**	**1732**	**1697**	**2.0**	**8.5**
Grand total	**173089**	**152625**	**13.4**	**24.1**	**12.4**	**14.2**	**-182**	**91**	**14396**	**14536**	**-1.0**	**28.4**

Source: Mirae Asset Sharekhan Research

Q4FY2026 results estimates Rs cr

Companies	Sales				OPM (%)				PAT			
	Q4FY26E	Q4FY25	y-o-y (%)	QoQ (%)	Q4FY26E	Q4FY25	y-o-y (bps)	QoQ (bps)	Q4FY26E	Q4FY25	y-o-y (%)	QoQ (%)
NTPC	44384	43903	1.1	9.7	10.8	10.9	-13	-69	2562	2599	-1.4	3.0
Power Grid	14100	12276	14.9	13.8	82.5	83.2	-79	-356	4624	4143	11.6	10.5
Tata Power	17932	17394	3.1	28.6	16.7	18.7	-198	-519	832	1049	-20.7	7.8
CESC	4684	4017	16.6	12.4	23.9	23.7	18	131	400	385	3.9	247.8
Total	**81100**	**77590**	**4.5**	**14.3**	**25.3**	**24.8**	**55**	**-188**	**8418**	**8176**	**3.0**	**11.3**

Source: Mirae Asset Sharekhan Research

Valuations

Particulars	CMP (Rs)	Reco	Price Target (Rs)	EPS			P/E (x)		
				FY26E	FY27E	FY28E	FY26E	FY27E	FY2E
Capital goods									
Larsen & Toubro	3,897	BUY	4,700	123.8	151.0	182.4	31.5	25.8	21.4
Bharat Electronics	440	BUY	525	8.6	10.1	11.8	50.9	43.6	37.2
KEC International	578	BUY	800	28.2	43.7	53.0	20.5	13.2	10.9
Kalpataru Power	1,142	BUY	1,400	60.1	81.0	95.8	19.0	14.1	11.9
Thermax	3,535	HOLD	UR	61.7	75.2	97.4	57.2	47.0	36.3
Triveni Turbines	455	BUY	640	12.4	14.9	18.4	36.6	30.6	24.7
Cummins India	4,907	BUY	5,500	82.0	98.1	115.8	59.8	50.0	42.4
Carborundum Universal	855	HOLD	1,040	20.7	25.8	28.3	41.3	33.2	30.2
Hindustan Aeronautics Ltd.	4,033	Positive	5,400	137.4	158.2	207.0	29.4	25.5	19.5
Kirloskar Oil Engines	1,459	Positive	1,650	36.7	44.4	54.3	39.8	32.8	26.9
Dee Development	313	Positive	340	17.3	22.2	32.0	18.0	14.1	9.8
Va Tech wabag	1,321	BUY	1,800	57.8	74.4	86.1	22.9	17.8	15.3
Honeywell automation	27,772	Hold	UR	695.4	863.3	900.0	39.9	32.2	30.9
Product based									
Finolex cables	844	BUY	1,250	48.3	50.4	54.0	17.5	16.8	15.6
V-Guard	328	BUY	430	6.3	7.8	9.6	52.3	42.0	34.2
KEI Industries	4,422	BUY	4,800	93.5	117.8	148.9	47.3	37.5	29.7
Polycab India	7,605	BUY	8,800	188.1	236.8	291.0	40.4	32.1	26.1
Amber Enterprises	6,895	BUY	9,300	86.4	181.0	264.6	79.8	38.1	26.1
Blue star Limited	1,654	BUY	2,060	31.6	37.5	45.6	52.3	44.1	36.3
Dixon Technologies	10,626	BUY	14,400	154.3	263.0	330.0	68.8	40.4	32.2
Power									
NTPC	378.45	BUY	430	26	28	29	13.2	12.3	10.8
Powergrid	298.15	BUY	350	16	18	22	14.4	13.2	11.8
Tata Power	394.55	BUY	485	19	22	23	19.8	17.2	15
CESC	156.7	BUY	195	7	8	10	22.6	20.6	16.7

Source: Mirae Asset Sharekhan Research

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